Palo Alto Networks

Positive Checks, Expect FY27 ARR in Line with Street; Trimming EBIT Margins; Path to 40% FCF

Earnings Preview

PANW reports on Tues, Sept 1 post-close and we see upside to 4Q NGS ARR & RPO bookings on strong checks, seasonal strength, & healthy firewall demand. The stock has run, but we see upside to NGS ARR & margins thru FY27 - more below.

Five thoughts into PANW's fiscal 4Q: (1) we could see a beat on 4Q RPO bookings in this seasonally strong quarter as our checks were strong for both firewall and NGS, pull forward ahead of price increases likely continued this quarter across the industry, and Mythos-related security concerns made it easier to close big deals this quarter according to our checks; (2) we think the same factors could drive upside to 4Q NGS ARR both on an organic and inorganic basis - our $795M 4Q NGS NNARR assumes organic NNARR grows 20%+ to $600M, $120M from Chronosphere as the frontier lab customer ramps its consumption, and ~$75M from CyberArk; (3) we like the setup into FY27 as we think PANW can guide at least in line with consensus at $10.9B in FY27 NGS ARR which implies MSD organic NNARR growth, ~$100M in Chronosphere NNARR, and ~$280M in CyberArk NNARR (which assumes base ARR grows 20%+), showing continued growth in the business while leaving room for upside in our view; (4) on profitability, we trim our FY27 EBIT margins to 30% (from 31% prior) as we continue to feel good about CyberArk expense synergies but PANW will digest a full year's impact from the CyberArk and Chronosphere acquisitions - that said, our FY27 FCF margins remain unchanged at 37.5% as improving demand in firewall could lessen the billings duration headwind, supporting the path to 40% FCF margins in FY28; (5) zooming out, the stock has run but we believe PANW remains a core holding as we see upside to NGS ARR organically and inorganically, upside to margins through FY27, potential benefit from Mythos-driven security spending, and expense/revenue synergies with CYBR. As a result, we raise our price target to $370 based on ~48x our FY28E FCF.

- **On 4Q: RPO bookings set up well in this back-end weighted business - checks sound strong, demand for firewall feels healthy, and Mythos-related concerns made it easier to close big deals this quarter, according to our checks.** We model in line with the RPO and revenue guides, which implies ~$5.9B in 4Q RPO bookings, or ~22% y/y growth, but we could see upside as 4Q has become increasingly seasonal from sales reps working to close deals before the fiscal year end and from the growing mix of big deals from platformization. Zooming in, we model high teens growth in product revenue which includes some inorganic contribution as the upfront portion of CyberArk's term and perpetual license revenue is recognized as product. That said, we could see upside to product organically for several reasons: (1) PANW raised prices on hardware firewalls by 10% on April 3rd in response to

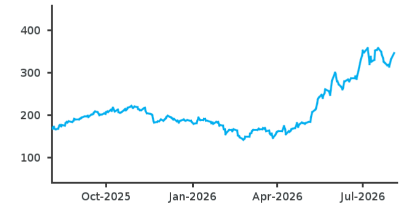
PANW	OVERWEIGHT Unchanged
U.S. Software	POSITIVE Unchanged
Price Target	USD 370.00 raised 17% from USD 315.00
Price (03-Aug-26)	USD 347.13
Potential Upside/Downside	+6.6%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)	282910
Shares Outstanding (mn)	815.00
Free Float (%)	99.26
52 Wk Avg Daily Volume (mn)	8.1
Dividend Yield (%)	N/A
Return on Equity TTM (%)	4.83
Current BVPS (USD)	34.03

Source: Bloomberg

Price Performance	Exchange-NYSE
52 Week range	USD 368.80-139.57



Source: LSEG Data & Analytics, Bloomberg
Link to Barclays Live for interactive charting

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rising memory costs, so product revenue could see a pricing benefit with a full quarter of benefit; (2) hardware demand feels healthy right now as customers refresh to Gen 5 firewalls; (3) it seems the industry-wide dynamic of customers buying hardware ahead of price increases last quarter continued as FTNT's product revenue growth accelerated again in 2Q; (4) software firewalls continue to see healthy growth; (5) the release of more advanced AI models like Mythos brings security concerns to the forefront, which is making it easier to get big deals over the finish line (based on our checks) - we think this could benefit PANW in particular given its platformization strategy and big deal focus. We similarly expect healthy growth on the services line, which will include contribution from both Chronosphere and CyberArk, along with continued strength in PANW's NGS business (which we discuss more below). Separately, PANW completed its acquisition of Koi in mid-April and Portkey at the end of May, though we think both acquisitions are immaterial to RPO bookings. Our checks were positive with broad-based strength across firewall appliances as customers refreshed their boxes and the NGS business as customers added more to their ELAs on top of the firewall.

- **On 4Q: we could similarly see upside to 4Q NGS ARR both organically and inorganically as our checks picked up strength across the NGS platform - we model $795M in 4Q NGS NNARR, which assumes ~$600M in organic NNARR, ~$120M from Chronosphere, and ~$75M from CyberArk; also remember, there was record backlog in 3Q with advanced subscriptions that probably benefit ARR in 4Q.** Moving to NGS ARR, we model ~$8,925M in 4Q NGS ARR which implies ~$795M in net new NGS ARR - zooming in, we estimate organic NNARR grows 20%+ y/y to ~$600M, which implies a moderate acceleration from the high teens organic growth last quarter as the business is becoming increasingly more back-end weighted and our checks indicated that Mythos-driven concerns made it easier to close big deals in the quarter. From an inorganic perspective, we expect Chronosphere to add a similar level of NNARR as we saw last quarter as a large frontier AI lab completes its migration to Chronosphere which could drive ~$120M in 4Q NGS NNARR, and we estimate CyberArk could add ~$75M in 4Q NGS NNARR. Taking a step back, we feel good about the setup on 4Q NGS ARR and could see upside to our estimates both organically and inorganically as this is PANW's seasonally strongest quarter, we picked up strength across the NGS portfolio in our checks, particularly in Prisma SASE, XSIAM, Cortex/EDR, Chronosphere, and Prisma AIRS, and our checks indicated that the CyberArk integration is going well. Separately, it is also worth noting that PANW ended 3Q with record hardware backlog (next gen firewall bookings grew ~40% y/y in 3Q) - remember, these boxes often attach advanced subscriptions, and so to the extent these boxes were delivered in 4Q, then we could see the ARR associated with these advanced subscriptions also contribute to 4Q ARR.

- **On the FY27 guide: we are in line with Street at $10.9B in FY27 NGS ARR, which assumes organic NNARR grows MSD, Chronosphere NNARR returns to normal levels adding ~$100M in FY27, and CyberArk adds ~$280M in NNARR or 20%+ base ARR growth; we think this could show continued growth and leave room for upside through the year.** Looking out to FY27, we expect the initial FY27 RPO guide to imply mid to high teens y/y growth which would equate to mid to high teens growth in FY27 RPO bookings as well. That said, we think the focus will be on the FY27 NGS ARR guide, where we model ~$10.9B or ~22% y/y base growth, which is in line with the Street based on Bloomberg consensus and implies $1,975-1,980M in net new ARR. Zooming in, our estimate assumes organic NGS NNARR grows ~5% y/y to $1,595-1,600M which we think is a prudent starting point off strong growth in FY26 - we feel good about organic NNARR growth next year as the headwind from the cloud security business lessens (recall, PANW is migrating Prisma Cloud customers to Cortex Cloud which caused some disruption in FY26, but most customers will be migrated by the end of FY26) and our checks indicate continued strength in areas like SASE, XSIAM, and Prisma AIRS. Note, this doesn't include any Mythos-related benefit from customers spending more on security as advanced AI models put more powerful tools in the hands of attackers, which could be a source of upside through FY27. While we don't expect PANW to break out contribution from CyberArk and Chronosphere next year, we expect Chronosphere to add ~$100M in FY27 NNARR which assumes quarterly NNARR returns to the $20-30M range we've seen historically prior to 2H26 when NNARR benefited from a large frontier AI lab migrating to Chronosphere from an incumbent vendor. Lastly, we think CyberArk ARR could grow 20%+ in FY27, which implies $280M+ in FY27 NGS NNARR, but wouldn't be surprised to see faster growth as PANW uses its GTM machine to drive more cross-sell (something we are starting to hear in checks). Putting this all together, we feel good that PANW can guide in line with our $10.9B FY27 NGS ARR estimate and see several levers for upside through the year both from CyberArk and in the organic NGS business. Separately, we note PANW is acquiring Embrace to enhance its observability offering - terms and sizing were not disclosed, but the deal is expected to close in 1Q27.

- **On the FY27 guide: we lower our FY27 EBIT margin to be closer to Street at ~30% as PANW will see a full year's impact from CyberArk and Chronosphere dilution; however, our FY27 FCF margin remains unchanged as improving firewall demand could lessen the billings duration headwind, further supporting the path to 40% FCF margin in FY28.** Moving to profitability, we were previously modelling ~31% FY27 operating margins as PANW is ahead of schedule on driving CyberArk expense synergies - remember, PANW expects to bring CyberArk's operating margins inline with its own within 12-18 months as it drives synergies on cloud hosting costs, consolidating vendors/suppliers, closing offices, combining marketing events, and more. That said, FY27 will see a full year's impact from CyberArk and Chronosphere dilution and the CyberArk acquisition brings an Israeli employee base where FX movements have been volatile, so we lower our FY27 EBIT margin by a point to ~30% to reflect this impact, which is in line with the Street based on Bloomberg consensus. While our FY27 EBIT margins are going down, our FY27 FCF margin remains unchanged at 37.5% as we think improving demand in firewall/traditional network security could have positive ramifications on billings and thus FCF - remember, firewall customers often pay multiple years upfront and PANW has been assuming a gradual decline in billings duration. So to the extent firewall/NetSec continues to grow faster than normal, it could ease that decline in billings duration, which on top of underlying operating leverage and CyberArk expense synergies supports the path to 40% FCF margins in FY28.

- **The stock has run, but we see upside to NGS ARR both from an organic and inorganic perspective, upside to margins on CyberArk synergies, and a potential Mythos tailwind in FY27.** Taking a step back, the natural pushback on PANW is valuation with the stock up 98% YTD (versus SPX +13%, HACK +42%, and IGV -3% YTD) and trading at ~44x CY27E FCF. While we agree that more of the upside from here will likely come from upside to numbers rather than multiple expansion, we think the stock will continue to be a core holding for several reasons - first, we feel good about the setup on NGS ARR both organically and inorganically in 4Q and through FY27 as our checks picked up continued strength across the NGS portfolio. Second, we think PANW could bring CyberArk to corporate margins sooner than expected, which could drive upside to EBIT margins through FY27. Third, with CyberArk expense synergies, underlying operating leverage, and strength in NetSec alleviating some of the billings duration headwind, we feel good about the path to 40% FCF margins in FY28. On top of this, we believe the release of advanced Mythos-like AI models could drive more security spending and PANW is positioned to benefit as the largest pure play security platform which could further drive upside to numbers next year. In addition, PANW plans to disclose segment-level revenue across Network Security, Cortex, and Identity along with consolidated recurring revenue starting in FY27, would could help clear up some of the noise around organic subscription revenue growth.

- **Conference Call Details:** Tuesday, September 1st at 4:30 PM ET; **Webcast Link:** here.

PANW: Quarterly and Annual EPS (USD)

	2025	2026			2027			Change y/y	
FY Jul	Actual	Old	New	Cons	Old	New	Cons	2026	2027
Q1	0.78A	0.93A	0.93A	0.93A	0.94E	0.91E	0.95E	19%	-2%
Q2	0.81A	1.03A	1.03A	1.03A	0.98E	0.95E	1.01E	27%	-8%
Q3	0.80A	0.85A	0.85A	0.85A	1.08E	1.04E	1.01E	6%	22%
Q4	0.95A	0.97E	0.97E	0.98E	1.20E	1.16E	1.15E	2%	20%
Year	3.34A	3.78E	3.78E	3.77E	4.20E	4.07E	4.13E	13%	8%
P/E	N/A		91.9			85.4			

Consensus numbers are from Bloomberg received on 04-Aug-2026; 12:50 GMT
Source: Barclays Research

U.S. Software | POSITIVE

Palo Alto Networks (PANW)

OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	9,222	11,420	13,795	15,512	18.9%
EBITDA (adj)	2,831	3,546	4,381	5,282	23.1%
Operating profit (adj)	2,652	3,326	4,138	5,032	23.8%
Pre-tax income (adj)	3,006	3,708	4,379	5,254	20.5%
Net income (adj)	2,345	2,892	3,416	4,098	20.5%
EPS (adj) ($)	3.34	3.78	4.07	4.83	13.0%
Diluted shares (mn)	701.3	765.5	840.2	848.7	6.6%
DPS ($)	0.00	0.00	0.00	0.00	N/A
Margin and return data	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
EBITDA (adj) margin (%)	30.7	31.0	31.8	34.1	31.9
Operating margin (adj) (%)	28.8	29.1	30.0	32.4	30.1
Pre-tax (adj) margin (%)	32.6	32.5	31.7	33.9	32.7
Net (adj) margin (%)	25.4	25.3	24.8	26.4	25.5
ROIC (%)	3.7	0.9	0.8	1.9	1.9
ROA (%)	9.9	6.0	6.5	7.0	7.4
ROE (%)	30.0	10.2	11.0	11.9	15.8
Balance sheet and cash flow ($mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
Net PP&E	387	453	410	360	-2.4%
Goodwill	4,567	21,902	21,902	21,902	68.6%
Cash and equivalents	2,903	4,345	9,525	15,730	75.6%
Total assets	23,576	48,268	52,880	58,435	35.3%
Short and long-term debt	0	0	0	0	N/A
Other long-term liabilities	14,438	18,059	19,975	22,152	15.3%
Total liabilities	15,752	19,967	21,883	24,060	15.2%
Net debt/(funds)	-2,903	-4,345	-9,525	-15,730	N/A
Shareholders' equity	7,824	28,301	30,997	34,374	63.8%
Change in working capital	923	616	697	959	1.3%
Cash flow from operations	3,716	4,542	5,380	6,405	19.9%
Capital expenditure	-246	-347	-200	-200	N/A
Free cash flow	3,470	4,195	5,180	6,205	21.4%
Valuation and leverage metrics	**2025A**	**2026E**	**2027E**	**2028E**	**Average**
P/E (adj) (x)	N/A	91.9	85.4	71.9	83.1
EV/sales (x)	30.0	24.3	20.1	17.9	23.1
EV/EBITDA (adj) (x)	97.8	78.1	63.2	52.4	72.9
Equity FCF yield (%)	1.4	1.6	1.8	2.1	1.7
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Net debt/EBITDA (adj) (x)	0.0	0.0	0.0	0.0	0.0
Total debt/capital (%)	0.0	0.0	0.0	0.0	0.0
Selected operating metrics ($mn)	**2025A**	**2026E**	**2027E**	**2028E**	**CAGR**
License revenue	1,802	2,225	2,528	2,781	15.6%
Services revenue	7,420	9,195	11,267	12,731	19.7%
Deferred revenue	608	754	772	855	12.0%

Note: FY End Jul

Source: Company data, Bloomberg, Barclays Research

Price (03-Aug-2026)	**USD 347.13**
Price Target	**USD 370.00**

Why OVERWEIGHT?

PANW is the largest standalone cybersecurity company with a broad platform that spans firewall, SASE, Prisma Cloud, Cortex, and AI. A majority of revenue comes from Next Gen Security, which makes PANW a structural double-digit compounder over the long term.

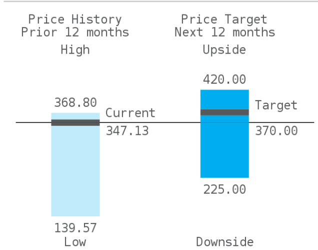
Upside case **USD 420.00**

Our upside scenario of $420 assumes FY28 FCF comes in 10% higher than our estimate, and we apply a ~50x multiple.

Downside case **USD 225.00**

Our downside scenario of $225 is based on ~35x our FY27 FCF estimate of ~$5.2B

Upside/Downside scenarios



Valuation

We raise our price target to $370 based on ~48x our FY28 FCF estimate of ~$6.2B. Our prior price target of $315 was based on ~41x our FY28 FCF estimate of ~$6.2B. Our higher multiple reflects our view that strong performance in SASE, XSIAM, software firewalls, and traditional network security along with Chronosphere and CyberArk could drive upside to NGS ARR in 4Q and through FY27. We could also see upside to margins as we believe CyberArk synergies could come to fruition sooner than expected, underpinning the path to 40% FY28 FCF margins. On top of that, there is a building AI story as more budget dollars are being allocated to security in the face of Mythos-enabled threats, all of which could drive multiple expansion from here.

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Primary Stocks (Ticker, Date, Price)
Palo Alto Networks (PANW, 03-Aug-2026, USD 347.13), Overweight/Positive, CE/D/J/K/L/M/N

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Procore Technologies, Inc. (PCOR)	PTC Inc. (PTC)	Rapid7 (RPD)
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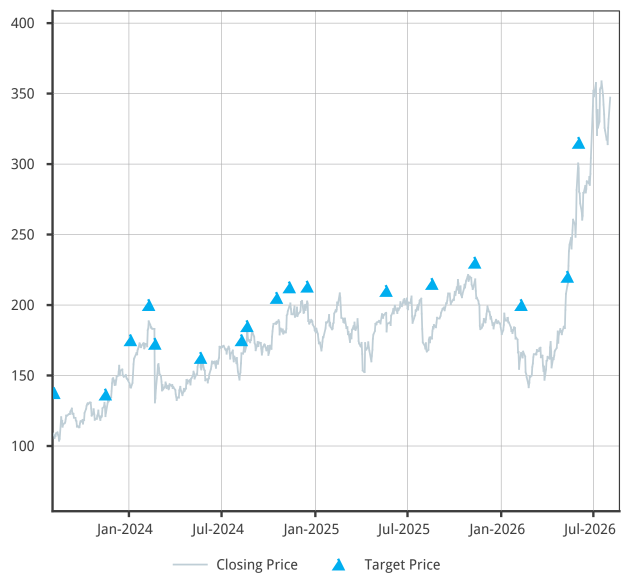
Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 347.13** (03-Aug-2026)

Rating and Price Target Chart (as of 03-Aug-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
02-Jun-2026	297.18		315.00	USD
11-May-2026	207.88		220.00	USD
09-Feb-2026	154.77		200.00	USD
10-Nov-2025	211.37		230.00	USD
18-Aug-2025	176.17		215.00	USD
20-May-2025	194.48		210.00	USD
16-Dec-2024	202.50		213.00	USD
11-Nov-2024	195.70		212.50	USD
17-Oct-2024	186.62		205.00	USD
20-Aug-2024	171.68		185.00	USD
09-Aug-2024	158.69		175.00	USD
21-May-2024	161.89		162.50	USD
21-Feb-2024	130.99		172.50	USD
09-Feb-2024	188.45		200.00	USD
04-Jan-2024	141.65		175.00	USD
16-Nov-2023	121.15		136.50	USD
07-Aug-2023	107.62		137.50	USD

On 04-Aug-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 122.50 USD.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

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Valuation Methodology: Our price target of $370 is based on ~48x our FY28 FCF estimate of ~$6.2B.

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